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CCS (Payment of Gratuity under NPS) Rules, 2021

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CCS (Payment of Gratuity under NPS) Rules, 2021

1. Short title and commencement: -

These rules may be called the Central Civil Services (Payment of Gratuity under National Pension System) Rules, 2021.

They shall come into force on the date (**23-Sept-2021**) of their publication in the Official Gazette.

2. Application. -

Save as otherwise provided in these rules, these rules shall apply to the Government servants including civilian Government servants in the Defence Services, appointed substantively to civil services and posts in connection with the affairs of the Union on or after the **1st day of January 2004**, and to whom the Central Civil Services (Implementation of National Pension System) Rules, 2021 apply:

Provided that in the case of a Government servant who dies during service or is boarded out on account of disablement or retires on invalidation and who had exercised option under rule 10 of the Central Civil Services (Implementation of National Pension System) Rules, 2021 for availing benefits under the Central Civil Services (Pension) Rules, 1972 (now 2021) or the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023), payment of gratuity shall be made in accordance with the said rules.

Chapter II: General Conditions

4. Regulation of claims to gratuity. -

- Any claim to gratuity shall be regulated by the provisions of these rules in force at the time when a Government servant retires or is retired or is discharged or is allowed to resign from service or dies, as the case may be.
- The day on which a Government servant retires or is retired or is discharged or is allowed to resign from service, as the case may be, shall be treated as his last working day and the date of death of a Government servant shall also be treated as a working day.

5. Right of President to withhold gratuity. -

- The President reserves to himself the right of withholding gratuity, either in full or in part, and of ordering recovery from gratuity of the whole or part of any pecuniary loss caused to the Government, if, in any departmental or judicial proceedings instituted while the Government servant was in service, the retired Government servant is found guilty of grave misconduct or negligence.
- Provided that the Union Public Service Commission shall be consulted before any final orders are passed by the President under this rule:
- No gratuity shall be payable to the Government servant until the conclusion of the departmental or judicial proceedings and issue of final orders thereon.
- departmental proceedings shall be deemed to be instituted on the date on which the statement of charges is issued to the Government servant or pensioner, or if the Government servant has been placed under suspension from an earlier date, on such date; and
- judicial proceedings shall be deemed to be instituted -
 - in the case of criminal proceedings, on the date on which the complaint or report of a police officer, of which the Magistrate takes cognizance, is made, and
 - in the case of civil proceedings, on the date the plaint is presented in the court.

Chapter III: Emoluments and Average Emoluments

6. Emoluments. -

- The expression 'emoluments' for the purpose of determining the amount of gratuity payable under these rules shall include the basic pay as defined in rule 9 (21) (a) (i) of the Fundamental Rules, 1922, which a Government servant was receiving immediately before his retirement or on the date of his death and shall also include non-practicing allowance granted to medical officer in lieu of private practice.

- Explanation. For the purposes of this sub-rule, stagnation increment shall be treated as emoluments for calculation of gratuity.
- Where a Government servant immediately before his retirement or death while in service, was on earned leave, and earned an increment which was not withheld, such increment though not actually drawn, shall form part of his emoluments:
- Provided that the increment was earned during the currency of the earned leave not exceeding **one hundred and twenty days**, or during the first **one hundred and twenty days** of earned leave where such leave was for more than **one hundred and twenty days**.
- Where a Government servant immediately before his retirement or death while in service had been absent from duty or was on leave for which leave salary is payable or having been suspended had been reinstated without forfeiture of service, the emoluments which he would have drawn had he not been absent from duty or suspended shall be the emoluments for the purposes of this rule:
- Provided that any increase in pay which is not actually drawn shall not form the part of his emoluments.

7. Average emoluments: -

Average emoluments shall be determined with reference to the emoluments drawn by a Government servant during the last **ten months** of his service.

Chapter IV: Qualifying Service

8. Commencement of qualifying service. -

Subject to the provisions of these rules, qualifying service of a Government servant shall commence from the date he takes charge of the post to which he is first appointed either substantively or in an officiating or temporary capacity:

Provided that officiating or temporary service is followed without interruption by substantive appointment in the same or another service or post.

9. Conditions subject to which service qualifies. -

- The service of a Government servant shall not qualify, unless his duties and pay are regulated by the Government, or under conditions determined by the Government.
- Explanation. For the purposes of this sub-rule, the expression "service" means service under the Government and paid by that Government from the Consolidated Fund of India or a Local Fund administered by that Government.
- In the case of Government servant belonging to a State Government who is permanently transferred to a service or post to which these rules apply, the continuous service rendered under the State Government in an officiating or temporary capacity, if any, followed without interruption by substantive appointment, or the continuous service rendered under that Government in an officiating or temporary capacity, as the case may be, shall qualify.

10. Counting of service on probation: -

Service on probation against a post if followed by confirmation in the same or another post shall qualify.

11. Counting of service as apprentice: -

Service as an apprentice shall not qualify, except in the case of Subordinate Audit or Account Services (S.A.S.) apprentice in the Indian Audit and Accounts Department or the Defence Accounts Department.

12. Counting of periods spent on leave: -

- All leave during service for which leave salary is payable and all extraordinary leave granted on medical certificate shall count as qualifying service:
- Provided that in the case of extraordinary leave other than extraordinary leave granted on medical certificate the appointing authority may, at the time of granting such leave, allow the period of that leave to count as qualifying service if such leave is granted to a Government servant,
 - due to his inability to join or rejoin duty on account of civil commotion; or

- for pursuing higher studies considered useful in discharge of the official duty of the Government servant.

13. Counting of periods spent on training. -

- The Government may, by order, decide whether the time spent by a Government servant under training immediately before appointment to a Group 'A' or Group 'B' post under that Government shall count as qualifying service.
- Time spent by a Government servant under training immediately before appointment to a Group 'C' post under the Government shall count as qualifying service.
- Group 'C' employees, who are required to undergo departmental training relating to jobs before they are put on regular employment, training period may be treated as qualifying service for gratuity, if the training is followed immediately by an appointment and the benefit shall be admissible to Group 'C' employees even if the officers concerned are not given the scale of pay of the post but only a nominal allowance.

14. Counting of periods of suspension. -

Time passed by a Government servant under suspension pending inquiry into conduct shall count as qualifying service where, on conclusion of such inquiry, he has been fully exonerated or a minor penalty is imposed on the Government servant or the suspension is held to be wholly unjustified; in other cases, the period of suspension shall not count unless the authority competent to pass orders under the rule governing such cases expressly declares at the time that it shall count to such extent as the Competent Authority may declare.

15. Forfeiture of service on dismissal or removal. -

Dismissal or removal of a Government servant from a service or post entails forfeiture of his past service.

16. Counting of past service on reinstatement. -

- A Government servant who is dismissed, removed or compulsorily retired from service, but is reinstated on appeal or review, is entitled to count his past service as qualifying service.

- The period of interruption in service between the date of dismissal, removal or compulsory retirement, as the case may be, and the date of reinstatement, and the period of suspension, if any, shall not count as qualifying service unless regularised as duty or leave by a specific order of the authority which passed the order of reinstatement.

17. Forfeiture of service on resignation. -

- Resignation from a service or a post, unless it is allowed to be withdrawn in the public interest by the appointing authority, entails forfeiture of past service.
- A resignation shall not entail forfeiture of past service if it has been submitted to take up, with proper permission, another appointment, whether temporary or permanent, under the Government where service qualifies.

18. Effect of interruption in service. -

An interruption in the service of a Government servant entails forfeiture of his past service, except in the following cases, namely: -

- a) authorised leave of absence;
- b) unauthorised absence in continuation of authorised leave of absence so long as the post of absentee is not filled substantively;
- c) suspension, where it is immediately followed by reinstatement, whether in the same or a different post, or where the Government servant dies or is permitted to retire or is retired on attaining the age of compulsory retirement while under suspension;
- d) transfer to non-qualifying service in an establishment under the control of the Government if such transfer has been ordered by a competent authority in the public interest;
- e) joining time while on transfer from one post to another.
- the appointing authority may, by order, commute retrospectively the periods of absence without leave as extraordinary leave.

19. Condonation of interruption in service. -

In the absence of a specific indication to the contrary in the service book, an interruption between two spells of civil service rendered by a Government servant under Government including civil service rendered and paid out of Defence Services Estimates or Railway Estimates shall be treated as automatically condoned and the pre-interruption service treated as qualifying service.

20. Period of deputation. -

Service rendered by a Government servant on foreign service in India or abroad or on deputation to United Nations or other International organisations shall count as qualifying service for gratuity provided contributions in respect of gratuity have been deposited for the said period either by the Government servant himself or by the foreign employer.

21. Verification of qualifying service after eighteen years' service and five years before retirement. -

On each occasion after a Government servant has completed **eighteen years** of service and on his being left with **five years** of service before the date of superannuation, the Head of Office in consultation with Accounts Officer shall, in accordance with the rules for the time being in force, verify the service rendered by such a Government servant, determine the qualifying service and communicate to him, in Form 1, the period of qualifying service so determined.

Chapter V: Regulation of Retirement Gratuity and Death Gratuity**22. Retirement gratuity or death gratuity. -**

A Government servant, who has completed **five years'** qualifying service and who, -

I. retires on attaining the age of superannuation, or on invalidation, or

II. retires or is retired, in advance of the age of superannuation in accordance with rule 56 of the Fundamental Rules, 1922 or rule 12 of the Central Civil Services (Implementation of National Pension System) Rules, 2021; or

III. on being declared surplus to the establishment in which he was serving, opts for Special Voluntary Retirement Scheme relating to voluntary retirement of surplus employees; or

IV. has been permitted to be absorbed in a service or post in or under a corporation or Company wholly or substantially owned or controlled by the Central Government or a State Government or in or under a body controlled or financed by the Central Government or a State Government,

shall, on his retirement, be granted retirement gratuity equal to **one-fourth** of his emoluments for each completed **six monthly period** of qualifying service, subject to a maximum of **16½ times** the emoluments.

 **LEGISLATIVE NOTE:** Substituted for typographical error "162 times" to correctly reflect the statutory maximum DCRG multiplier of "16½ times" the emoluments. (Updated 2025).

Where a Government servant dies while in service, the death gratuity shall be payable to his family at the rates given in the following Table, namely: -

Sl. No.	Length of qualifying service	Rate of death gratuity
1	Less than 1 year	Two times of emoluments.
2	1 year or more but less than 5 years	Six times of emoluments.
3	5 years or more but less than 11 years	Twelve times of emoluments.
4	11 years or more but less than 20 years	Twenty times of emoluments.
5	20 years or more	Half of emoluments for every completed six monthly period of qualifying service subject to a maximum of thirty-three times of emoluments.

- Provided that the amount of retirement gratuity or death gratuity payable under this rule shall in no case exceed **twenty-five lakh rupees** w.e.f. **01.01.2024**:
- The emoluments for the purpose of gratuity admissible under this rule, shall be reckoned in accordance with rule 6:
- Provided further that the dearness allowance admissible on the date of retirement or death, as the case may be, shall also be treated as emoluments for the purpose of this rule.
- Where a Government servant, who has become eligible for retirement gratuity dies within **five years** from the date of his retirement from service including compulsory retirement as a penalty and the sums actually received by him at the time of death on account of such annuity under National Pension System, if any, together with the retirement gratuity admissible are less than the amount equal to **twelve times** of his emoluments, a residuary gratuity equal to the deficiency may be granted to his family.
- 'family', in relation to a Government servant, means,
 - (i) wife or wives including judicially separated wife or wives in the case of a male Government servant;
 - (ii) husband, including judicially separated husband in the case of a female Government servant;
 - (iii) sons including stepsons and adopted sons;
 - (iv) unmarried daughters including stepdaughters and adopted daughters;
 - (v) widowed or divorced daughters including stepdaughters and adopted daughters;
 - (vi) father, including adoptive parents in the case of individuals whose personal law permits adoption;
 - (vii) mother, including adoptive parents in the case of individuals whose personal law permits adoption;
 - (viii) brothers below the age of **eighteen years** including stepbrothers;

- (ix) unmarried sisters and widowed sisters including stepsisters;
- (x) married daughters, and
- (xi) children of a pre-deceased son.
- In calculating the length of qualifying service, fraction of a year equal to **three months** and above shall be treated as a completed **one half-year** and reckoned as qualifying service.
- Death gratuity shall also be admissible in the case of a Government servant who commits suicide.

23. Nominations. -

A Government servant shall, on his initial confirmation in a service or post, make a nomination in Form 2, conferring on one or more persons the right to receive the retirement gratuity or death gratuity.

25. Debarring a person from receiving gratuity. -

Where a person who in the event of death of a Government servant while in service is eligible to receive gratuity in terms of rule 24, is charged with the offence of murdering the Government servant or for abetting in the commission of such an offence, his claim to receive his share of gratuity shall remain suspended till the conclusion of the criminal proceedings instituted against him.

26. Lapse of retirement gratuity or death gratuity. -

- Where a Government servant dies while in service or after retirement without receiving the amount of gratuity and leaves behind no family, and, -
 - a) has made no nomination; or
 - b) the nomination made by him does not subsist,
- the amount of retirement gratuity or death gratuity payable in respect of such Government servant shall lapse to the Government:

- Provided that the amount of death gratuity or retirement gratuity shall be payable to the person in whose favour a Succession Certificate in respect of the gratuity in question has been granted by a Court of Law.

27. Superannuation gratuity. -

A superannuation gratuity shall be granted to a Government servant who is retired on his attaining the age of superannuation or, if the service of the Government servant has been extended beyond superannuation, on expiry of such period of extension of service beyond the age of superannuation.

28. Invalid gratuity. -

- An Invalid Gratuity shall be granted to a Government servant who retires from the service on account of any bodily or mental infirmity which permanently incapacitates him for the service in accordance with rule 16 of the Central Civil Services (Implementation of National Pension System) Rules, 2021 and who had exercised option or in whose case the default option under rule 10 of that rules, is for availing benefits under National Pension System:
- Provided that where a Government servant, who had exercised option or in whose case the default option under rule 10 of the Central Civil Services (Implementation of National Pension System) Rules, 2021 is for availing benefits under the Central Civil Services (Pension) Rules, 1972 (now 2021) or the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023) and in whose case the provision of section 20 of the Rights of Persons with Disabilities Act, 2016 (49 of 2016) are not applicable, retires on account of any bodily or mental infirmity which permanently incapacitates him for the service, further action will be taken by the Head of Office for disbursement of benefits in accordance with the Central Civil Services (Pension) Rules, 1972 (now 2021) or the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023) as the case may be.

29. Retiring gratuity. -

A Government servant who retires or is retired, in advance of the age of superannuation in accordance with rule 56 of the Fundamental Rules, 1922 or rule 12 of the Central Civil Services (Implementation of National Pension System) Rules, 2021 on being declared surplus to the establishment in which he was serving, opts for Special Voluntary

Retirement Scheme for surplus employees notified by the Department of Personnel and Training vide Office Memorandum No. 25013/6/2001-Estt. (A), dated the **28th February, 2002** as amended from time to time, shall be entitled to gratuity admissible.

30. Gratuity on compulsory retirement: -

- A Government servant compulsorily retired from service as a penalty may be granted, by the authority competent to impose such penalty, gratuity at a rate not less than **two-thirds** of gratuity admissible to him on the date of his compulsory retirement.
- Whenever in the case of a Government servant the President passes an order (whether original, appellate or in exercise of power of review) awarding a gratuity less than the full gratuity admissible under these rules, the Union Public Service Commission shall be consulted before such order is passed.

31. Effect of dismissal or removal. -

- A Government servant who is dismissed or removed from service shall forfeit his gratuity:
- Provided that the authority competent to dismiss or remove him from service may, if the case is deserving of special consideration, sanction a compassionate gratuity not exceeding **two-thirds** of retirement gratuity.

32. Benefit on absorption in or under a corporation, company or body. -

- A Government servant who has been permitted to be absorbed in a service or post in or under a corporation or company wholly or substantially owned or controlled by the Central Government or a State Government or in or under a body controlled or financed by the Central Government or a State Government, shall be deemed to have retired from service from the date of such absorption and he shall be eligible, on such absorption, to receive retirement gratuity on the basis of the qualifying service and emoluments on the date of absorption.
- Where a gratuity scheme similar to the gratuity scheme under these rules exists in a body controlled or financed by the Central Government or a State Government in which a Government servant is absorbed, he shall be entitled to exercise option either, -

- a) to receive retirement benefits for the service rendered under the Central Government.
- b) to count the service rendered under the Central Government in that body for pension.

33. Payment of gratuity in the case of missing Government servant. -

- Where a Government servant is missing, the family shall lodge a complaint with the concerned police station and obtain report from the police, that the Government servant has not been traced despite all efforts made by the police and the report may be the First Information Report or any other report such as Daily Diary or General Diary Entry.
- The family after **six months** of lodging police complaint may apply in Form 4 for the grant of retirement gratuity to the Head of Office of the organization where the Government servant had last served.
- The retirement gratuity shall be paid to the family within **three months** of the date of application and in case of any delay, the interest shall be paid at the applicable Public Provident Fund rates and responsibility for delay shall be fixed.
- The difference between the death gratuity and retirement gratuity shall be payable after the death of the employee is conclusively established or on the expiry of the period of **seven years** from the date of the police report.